

Agilent Technologies, Inc.
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AGILENT TECHNOLOGIES, INC.
CONDENSED CONSOLIDATED STATEMENT OF OPERATIONS
(In millions, except per share amounts)
(Unaudited)
PRELIMINARY

	Three Months Ended October 31,		Years Ended October 31,	
	2021	2020	2021	2020
Net revenue	\$ 1,660	\$ 1,483	\$ 6,319	\$ 5,339
Costs and expenses:				
Cost of products and services	760	695	2,912	2,502
Research and development	116	102	441	495
Selling, general and administrative	389	387	1,619	1,496
Total costs and expenses	<u>1,265</u>	<u>1,184</u>	<u>4,972</u>	<u>4,493</u>
Income from operations	395	299	1,347	846
Interest income	1	1	2	8
Interest expense	(21)	(19)	(81)	(78)
Other income (expense), net	<u>73</u>	<u>2</u>	<u>92</u>	<u>66</u>
Income before taxes	448	283	1,360	842
Provision for income taxes	6	61	150	123
Net income	<u>\$ 442</u>	<u>\$ 222</u>	<u>\$ 1,210</u>	<u>\$ 719</u>
Net income per share:				
Basic	\$ 1.46	\$ 0.72	\$ 3.98	\$ 2.33
Diluted	\$ 1.45	\$ 0.71	\$ 3.94	\$ 2.30
Weighted average shares used in computing net income per share:				
Basic	303	308	304	309
Diluted	305	311	307	312

The preliminary income statement is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
CONDENSED CONSOLIDATED BALANCE SHEET
(In millions, except par value and share amounts)
(Unaudited)
PRELIMINARY

	October 31, 2021	October 31, 2020
ASSETS		
Current assets:		
Cash and cash equivalents	\$ 1,484	\$ 1,441
Short-term investments	91	—
Accounts receivable, net	1,172	1,038
Inventory	830	720
Other current assets	222	216
Total current assets	3,799	3,415
Property, plant and equipment, net	945	845
Goodwill and other intangible assets, net	4,956	4,433
Long-term investments	185	158
Other assets	820	776
Total assets	<u>\$ 10,705</u>	<u>\$ 9,627</u>
LIABILITIES AND EQUITY		
Current liabilities:		
Accounts payable	\$ 446	\$ 354
Employee compensation and benefits	493	367
Deferred revenue	441	386
Short-term debt	—	75
Other accrued liabilities	328	285
Total current liabilities	1,708	1,467
Long-term debt	2,729	2,284
Retirement and post-retirement benefits	220	389
Other long-term liabilities	659	614
Total liabilities	5,316	4,754
Total Equity:		
Stockholders' equity:		
Preferred stock; \$0.01 par value; 125 million shares authorized; none issued and outstanding	—	—
Common stock; \$0.01 par value, 2 billion shares authorized; 302 million shares at October 31, 2021 and 306 million shares at October 31, 2020, issued and outstanding	3	3
Additional paid-in-capital	5,320	5,311
Retained earnings	348	81
Accumulated other comprehensive loss	(282)	(522)
Total stockholders' equity	5,389	4,873
Total liabilities and stockholders' equity	<u>\$ 10,705</u>	<u>\$ 9,627</u>

The preliminary balance sheet is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
CONDENSED CONSOLIDATED STATEMENT OF CASH FLOWS
(In millions)
(Unaudited)
PRELIMINARY

	Years Ended	
	October 31, 2021	October 31, 2020
Cash flows from operating activities:		
Net income	\$ 1,210	\$ 719
Adjustments to reconcile net income to net cash provided by operating activities:		
Depreciation and amortization	321	308
Share-based compensation	110	83
Excess and obsolete inventory related charges	29	28
Loss on extinguishment of debt	17	—
Asset impairment charges	2	99
Net gain on equity securities	(98)	(27)
Change in fair value of contingent consideration	(21)	—
Other non-cash expenses, net	3	8
Changes in assets and liabilities:		
Accounts receivable, net	(128)	(107)
Inventory	(136)	(68)
Accounts payable	64	2
Employee compensation and benefits	112	29
Other assets and liabilities	—	(153)
Net cash provided by operating activities ^(a)	<u>1,485</u>	<u>921</u>
Cash flows from investing activities:		
Investments in property, plant and equipment	(188)	(119)
Proceeds from sale of property, plant and equipment	1	1
Payment to acquire equity securities	(22)	(20)
Proceeds from sale of equity securities	12	—
Payment to acquire intangible assets	(1)	—
Payment in exchange for convertible note	(5)	(9)
Acquisition of businesses and intangible assets, net of cash acquired	(546)	—
Net cash used in investing activities	<u>(749)</u>	<u>(147)</u>
Cash flows from financing activities:		
Issuance of common stock under employee stock plans	55	60
Payment of taxes related to net share settlement of equity awards	(76)	(37)
Issuance of senior notes	848	499
Debt issuance costs	(7)	(4)
Payment of dividends	(236)	(222)
Repayment of senior notes	(417)	—
Proceeds from commercial paper	1,647	420
Repayment of commercial paper	(1,722)	(345)
Proceeds from revolving credit facility	—	798
Repayment of revolving credit facility	—	(1,413)
Repayment of finance lease	—	(4)
Treasury stock repurchases	(788)	(469)
Net cash used in financing activities	<u>(696)</u>	<u>(717)</u>
Effect of exchange rate movements	3	2
Net increase in cash, cash equivalents and restricted cash	43	59
Cash, cash equivalents and restricted cash at beginning of period	<u>1,447</u>	<u>1,388</u>
Cash, cash equivalents and restricted cash at end of period	<u>\$ 1,490</u>	<u>\$ 1,447</u>
Reconciliation of cash, cash equivalents and restricted cash to the condensed consolidated balance sheet:		
Cash and cash equivalents	\$ 1,484	\$ 1,441
Restricted cash, included in other assets	6	6
Total cash, cash equivalents and restricted cash	<u>\$ 1,490</u>	<u>\$ 1,447</u>

^(a) Cash payments included in operating activities:

Income tax paid, net	\$ 211	\$ 361
Interest payments	\$ 76	\$ 71

The preliminary cash flow is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
LIFE SCIENCES AND APPLIED MARKETS SEGMENT
(Unaudited)
PRELIMINARY

(In millions, except margins data)

	2021				
	Q1	Q2	Q3	Q4	Total
Net revenue	\$ 722	\$ 674	\$ 680	\$ 747	\$ 2,823
Gross margin %	60.5%	59.4%	60.0%	59.4%	59.8%
Income from operations	\$ 199	\$ 154	\$ 170	\$ 199	\$ 722
Operating margin %	27.6%	22.9%	25.0%	26.6%	25.6%

	2020				
	Q1	Q2	Q3	Q4	Total
Net revenue	\$ 638	\$ 526	\$ 557	\$ 671	\$ 2,392
Gross margin %	60.2%	58.1%	59.3%	59.2%	59.2%
Income from operations	\$ 158	\$ 98	\$ 126	\$ 166	\$ 548
Operating margin %	24.8%	18.7%	22.6%	24.8%	22.9%

Income from operations reflect the results of our reportable segments under Agilent's management reporting system which are not necessarily in conformity with GAAP financial measures. Income from operations of our reporting segments exclude, among other things, charges related to asset impairments, amortization of intangibles, transformational initiatives, acquisition and integration costs, change in fair value of contingent consideration and business exit and divestiture costs.

Readers are reminded that non-GAAP numbers are merely a supplement to, and not a replacement for, GAAP financial measures. They should be read in conjunction with the GAAP financial measures. It should be noted as well that our non-GAAP information may be different from the non-GAAP information provided by other companies.

The preliminary segment information is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
DIAGNOSTICS AND GENOMICS SEGMENT
(Unaudited)
PRELIMINARY

(In millions, except margins data)

	2021				
	Q1	Q2	Q3	Q4	Total
Net revenue	\$ 294	\$ 315	\$ 346	\$ 341	\$ 1,296
Gross margin %	51.6%	53.4%	53.5%	52.5%	52.8%
Income from operations	\$ 55	\$ 69	\$ 78	\$ 71	\$ 273
Operating margin %	18.6%	21.9%	22.6%	20.8%	21.0%

	2020				
	Q1	Q2	Q3	Q4	Total
Net revenue	\$ 249	\$ 263	\$ 241	\$ 294	\$ 1,047
Gross margin %	51.7%	55.1%	49.8%	50.9%	51.9%
Income from operations	\$ 34	\$ 57	\$ 41	\$ 60	\$ 192
Operating margin %	13.5%	21.6%	17.2%	20.3%	18.3%

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The preliminary segment information is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
AGILENT CROSSLAB SEGMENT
(Unaudited)
PRELIMINARY

(In millions, except margins data)

	2021				
	Q1	Q2	Q3	Q4	Total
Net revenue	\$ 532	\$ 536	\$ 560	\$ 572	\$ 2,200
Gross margin %	51.7%	51.6%	52.5%	53.4%	52.3%
Income from operations	\$ 142	\$ 141	\$ 164	\$ 171	\$ 618
Operating margin %	26.7%	26.3%	29.3%	29.9%	28.1%

	2020				
	Q1	Q2	Q3	Q4	Total
Net revenue	\$ 470	\$ 449	\$ 463	\$ 518	\$ 1,900
Gross margin %	51.8%	52.5%	52.6%	51.8%	52.2%
Income from operations	\$ 119	\$ 122	\$ 132	\$ 143	\$ 516
Operating margin %	25.4%	27.2%	28.4%	27.7%	27.2%

Income from operations reflect the results of our reportable segments under Agilent's management reporting system which are not necessarily in conformity with GAAP financial measures. Income from operations of our reporting segments exclude, among other things, charges related to asset impairments, amortization of intangibles, transformational initiatives, acquisition and integration costs, change in fair value of contingent consideration and business exit and divestiture costs.

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Agilent Technologies, Inc.
Non-GAAP Financial Results Q4'20 - Q4'21
(Unaudited)

		Preliminary				
		Q4'20	Q1'21	Q2'21	Q3'21	Q4'21
M\$						Q4
						Y/Y
Net Revenue		1,483	1,548	1,525	1,586	1,660
Gross Profit %		55.0%	55.8%	55.4%	55.9%	55.9%
R&D		101	103	107	109	115
% Revenue		6.8%	6.7%	7.0%	6.9%	6.9%
SG&A		345	365	374	366	372
% Revenue		23.3%	23.6%	24.5%	23.1%	22.4%
Operating Profit		369	396	364	412	441
Operating Margin		24.9%	25.5%	23.9%	26.0%	26.5%
Other Income/ (Expense)		(12)	(11)	(14)	(17)	(18)
Pre-Tax Earnings		357	385	350	395	423
Tax Rate		15%	15%	15%	15%	13%
Income Tax		52	57	51	58	55
Net Income		305	328	299	337	368
Net Margin		20.6%	21.2%	19.6%	21.2%	22.2%
Non-GAAP EPS		\$ 0.98	\$ 1.06	\$ 0.97	\$ 1.10	\$ 1.21
						\$ 0.23

We provide the non-GAAP income statements in order to provide meaningful supplemental information regarding our operational performance and our prospects for the future. These supplemental measures exclude, among other things, charges related to asset impairments, amortization of intangibles, transformational initiatives, acquisition and integration costs, change in fair value of contingent consideration, loss on extinguishment of debt, business exit and divestiture costs, pension settlement loss and net gain on equity securities.

Asset impairments include assets that have been written down to their fair value.

Transformational initiatives include expenses associated with targeted cost reduction activities such as manufacturing transfers including costs to move manufacturing, site consolidations, legal entity and other business reorganizations, insourcing or outsourcing of activities. Such costs may include move and relocation costs, one-time termination benefits and other one-time reorganization costs. Included in this category are also expenses associated with company programs to transform our product lifecycle management (PLM) system and human resources and financial systems.

Acquisition and integration costs include all incremental expenses incurred to effect a business combination. Such acquisition costs may include advisory, legal, tax, accounting, valuation, and other professional or consulting fees. Such integration costs may include expenses directly related to integration of business and facility operations, the transfer of assets and intellectual property, information technology systems and infrastructure and other employee-related costs.

Change in fair value of contingent consideration represents changes in the fair value estimate of acquisition-related contingent consideration.

Loss on extinguishment of debt relates to the net loss recorded on the redemption of \$100 million of the \$400 million outstanding 3.2% 2022 senior notes due on October 1, 2022, called on December 22, 2020 and settled on January 21, 2021 and the net loss recorded on the redemption of the remaining \$300 million called on March 5, 2021 and settled on April 5, 2021.

Business exit and divestiture costs include costs associated with business divestitures.

Pension settlement loss relates to the relief of the US Retirement Plan pension obligation due to increased lump sum payouts over a specified accounting threshold.

Net gain on equity securities relates to the realized and unrealized mark-to-market adjustment on our marketable and non-marketable equity securities.

Other includes certain legal costs and settlements, special compliance costs and acceleration of share-based compensation expense in addition to other miscellaneous adjustments.

Our management uses non-GAAP measures to evaluate the performance of our core businesses, to estimate future core performance and to compensate employees. Since management finds this measure to be useful, we believe that our investors benefit from seeing our results "through the eyes" of management in addition to seeing our GAAP results. This information facilitates our management's internal comparisons to our historical operating results as well as to the operating results of our competitors.

Our management recognizes that items such as amortization of intangibles can have a material impact on our cash flows and/or our net income. Our GAAP financial statements including our statement of cash flows portray those effects. Although we believe it is useful for investors to see core performance free of special items, investors should understand that the excluded items are actual expenses that may impact the cash available to us for other uses. To gain a complete picture of all effects on the company's profit and loss from any and all events, management does (and investors should) rely upon the GAAP income statement. The non-GAAP numbers focus instead upon the core business of the company, which is only a subset, albeit a critical one, of the company's performance.

Readers are reminded that non-GAAP numbers are merely a supplement to, and not a replacement for, GAAP financial measures. They should be read in conjunction with the GAAP financial measures. It should be noted as well that our non-GAAP information may be different from the non-GAAP information provided by other companies.

For reconciliations of the non-GAAP financial information to the most directly comparable GAAP information, please see the non-GAAP reconciliations for all prior periods provided at the Investor's page of our website.

AGILENT TECHNOLOGIES, INC.
RECONCILIATION OF NON-GAAP AND GAAP FINANCIAL RESULTS
(In millions, except margin data)
(Unaudited)
PRELIMINARY

GROSS MARGIN	Q4'21	Gross Margin %	Q4'20	Gross Margin %
Revenue:	\$ 1,660		\$ 1,483	
Gross margin:				
Cost of products and services	\$ 760	54.2%	\$ 695	53.1%
Add:				
Intangible amortization	(29)		(24)	
Transformational initiatives	1		(1)	
Acquisition and integration costs	(1)		(1)	
Other	1		(1)	
Non-GAAP cost of products and services	\$ 732	55.9%	\$ 668	55.0%

RESEARCH & DEVELOPMENT EXPENSES	Q4'21	R&D as % of Revenue	Q4'20	R&D as % of Revenue
Revenue:	\$ 1,660		\$ 1,483	
Research and development expenses	\$ 116	7.0%	\$ 102	6.9%
Add:				
Acquisition and integration costs	(1)		—	
Other	—		(1)	
Non-GAAP research and development expenses	\$ 115	6.9%	\$ 101	6.8%

SELLING, GENERAL & ADMINISTRATIVE EXPENSES	Q4'21	SG&A as % of Revenue	Q4'20	SG&A as % of Revenue
Revenue:	\$ 1,660		\$ 1,483	
Selling, general and administrative expenses	\$ 389	23.4%	\$ 387	26.1%
Add:				
Intangible amortization	(22)		(21)	
Transformational initiatives	(6)		(11)	
Acquisition and integration costs	(7)		(7)	
Change in fair value of contingent consideration	21		—	
Business exit and divestiture costs	(1)		(2)	
Other	(2)		(1)	
Non-GAAP selling, general & administrative expenses	\$ 372	22.4%	\$ 345	23.3%

We provide non-GAAP gross margin, research & development and selling, general & administrative expense amounts in order to provide meaningful supplemental information regarding our operational performance and our prospects for the future. These supplemental measures exclude, among other things, charges related to amortization of intangibles, transformational initiatives, acquisition and integration costs, change in fair value of contingent consideration and business exit and divestiture costs.

Our management recognizes that items such as amortization of intangibles can have a material impact on our cash flows and/or our net income. Our GAAP financial statements including our statement of cash flows portray those effects. Although we believe it is useful for investors to see core performance free of special items, investors should understand that the excluded items are actual expenses that may impact the cash available to us for other uses. To gain a complete picture of all effects on the company's profit and loss from any and all events, management does (and investors should) rely upon the GAAP income statement. The non-GAAP numbers focus instead upon the core business of the company, which is only a subset, albeit a critical one, of the company's performance.

Readers are reminded that non-GAAP numbers are merely a supplement to, and not a replacement for, GAAP financial measures. They should be read in conjunction with the GAAP financial measures. It should be noted as well that our non-GAAP information may be different from the non-GAAP information provided by other companies.

The preliminary reconciliation of gross margin, research & development expenses and selling, general & administrative expenses is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
RECONCILIATION OF NON-GAAP AND GAAP FINANCIAL RESULTS
(In millions, except margin data)
(Unaudited)
PRELIMINARY

<u>GROSS MARGIN</u>	<u>FY21</u>	<u>Gross Margin %</u>	<u>FY20</u>	<u>Gross Margin %</u>
Revenue:	\$ 6,319		\$ 5,339	
Gross margin:				
Cost of products and services	\$ 2,912	53.9%	\$ 2,502	53.1%
Add:				
Intangible amortization	(109)		(98)	
Transformational initiatives	(3)		(7)	
Acquisition and integration costs	(4)		(5)	
Business exit and divestiture costs	(1)		—	
Other	—		(5)	
Non-GAAP cost of products and services	<u>\$ 2,795</u>	55.8%	<u>\$ 2,387</u>	55.3%

<u>RESEARCH & DEVELOPMENT EXPENSES</u>	<u>FY21</u>	<u>R&D as % of Revenue</u>	<u>FY20</u>	<u>R&D as % of Revenue</u>
Revenue:	\$ 6,319		\$ 5,339	
Research and development expenses	\$ 441	7.0%	\$ 495	9.3%
Add:				
Asset impairments	—		\$ (97)	
Transformational initiatives	\$ (3)		(5)	
Acquisition and integration costs	(3)		(2)	
Business exit and divestiture costs	(1)		—	
Non-GAAP research and development expenses	<u>\$ 434</u>	6.9%	<u>\$ 391</u>	7.3%

<u>SELLING, GENERAL & ADMINISTRATIVE EXPENSES</u>	<u>FY21</u>	<u>SG&A as % of Revenue</u>	<u>FY20</u>	<u>SG&A as % of Revenue</u>
Revenue:	\$ 6,319		\$ 5,339	
Selling, general and administrative expenses	\$ 1,619	25.6%	\$ 1,496	28.0%
Add:				
Asset impairments	\$ (2)		\$ (2)	
Intangible amortization	(85)		(86)	
Transformational initiatives	(31)		(41)	
Acquisition and integration costs	(34)		(34)	
Change in fair value of contingent consideration	21		—	
Business exit and divestiture costs	(3)		(2)	
Other	(8)		(26)	
Non-GAAP selling, general & administrative expenses	<u>\$ 1,477</u>	23.4%	<u>\$ 1,305</u>	24.4%

We provide non-GAAP gross margin, research & development and selling, general & administrative expense amounts in order to provide meaningful supplemental information regarding our operational performance and our prospects for the future. These supplemental measures exclude, among other things, charges related to asset impairments, amortization of intangibles, transformational initiatives, acquisition and integration costs, change in fair value of contingent consideration and business exit and divestiture costs.

Our management recognizes that items such as amortization of intangibles can have a material impact on our cash flows and/or our net income. Our GAAP financial statements including our statement of cash flows portray those effects. Although we believe it is useful for investors to see core performance free of special items, investors should understand that the excluded items are actual expenses that may impact the cash available to us for other uses. To gain a complete picture of all effects on the company's profit and loss from any and all events, management does (and investors should) rely upon the GAAP income statement. The non-GAAP numbers focus instead upon the core business of the company, which is only a subset, albeit a critical one, of the company's performance.

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The preliminary reconciliation of gross margin, research & development expenses and selling, general & administrative expenses is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
RECONCILIATION OF NON-GAAP INCOME FROM OPERATIONS AND OPERATING MARGINS
(In millions, except margin data)
(Unaudited)
PRELIMINARY

	Q4'21	Operating Margin %	Q4'20	Operating Margin %	Year Over Year Percent Pts Inc/(Dec)
Revenue:	\$ 1,660		\$ 1,483		
Income from operations:					
GAAP Income from operations	\$ 395	23.8%	\$ 299	20.2%	
Add:					
Intangible amortization	51		45		
Transformational initiatives	5		12		
Acquisition and integration costs	9		8		
Change in fair value of contingent consideration	(21)				
Business exit and divestiture costs	1		2		
Other	1		3		
Non-GAAP income from operations	<u>\$ 441</u>	26.5%	<u>\$ 369</u>	24.9%	1.6%

We provide non-GAAP income from operations and non-GAAP operating margin amounts in order to provide meaningful supplemental information regarding our operational performance and our prospects for the future. These supplemental measures exclude, among other things, charges related to amortization of intangibles, transformational initiatives, acquisition and integration costs, change in fair value of contingent consideration and business exit and divestiture costs.

Our management recognizes that items such as amortization of intangibles can have a material impact on our cash flows and/or our net income. Our GAAP financial statements including our statement of cash flows portray those effects. Although we believe it is useful for investors to see core performance free of special items, investors should understand that the excluded items are actual expenses that may impact the cash available to us for other uses. To gain a complete picture of all effects on the company's profit and loss from any and all events, management does (and investors should) rely upon the GAAP income statement. The non-GAAP numbers focus instead upon the core business of the company, which is only a subset, albeit a critical one, of the company's performance.

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The preliminary reconciliation of income from operations and operating margins is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
RECONCILIATION OF ADJUSTED NON-GAAP INCOME FROM OPERATIONS AND OPERATING MARGINS
(In millions, except margin data)
(Unaudited)
PRELIMINARY

	FY21	Operating Margin %	FY20	Operating Margin %	Year Over Year Percent Pts Inc/(Dec)
Revenue:	\$ 6,319		\$ 5,339		
Income from operations:					
GAAP Income from operations	\$ 1,347	21.3%	\$ 846	15.8%	
Add:					
Asset impairments	\$ 2		\$ 99		
Intangible amortization	194		184		
Transformational initiatives	37		53		
Acquisition and integration costs	41		41		
Change in fair value of contingent consideration	(21)		—		
Business exit and divestiture costs	5		2		
Other	8		31		
Non-GAAP income from operations	\$ 1,613	25.5%	\$ 1,256	23.5%	2.0%

We provide non-GAAP income from operations and non-GAAP operating margin amounts in order to provide meaningful supplemental information regarding our operational performance and our prospects for the future. These supplemental measures exclude, among other things, charges related to asset impairments, amortization of intangibles, transformational initiatives, acquisition and integration costs, change in fair value of contingent consideration and business exit and divestiture costs.

Our management recognizes that items such as amortization of intangibles can have a material impact on our cash flows and/or our net income. Our GAAP financial statements including our statement of cash flows portray those effects. Although we believe it is useful for investors to see core performance free of special items, investors should understand that the excluded items are actual expenses that may impact the cash available to us for other uses. To gain a complete picture of all effects on the company's profit and loss from any and all events, management does (and investors should) rely upon the GAAP income statement. The non-GAAP numbers focus instead upon the core business of the company, which is only a subset, albeit a critical one, of the company's performance.

Readers are reminded that non-GAAP numbers are merely a supplement to, and not a replacement for, GAAP financial measures. They should be read in conjunction with the GAAP financial measures. It should be noted as well that our non-GAAP information may be different from the non-GAAP information provided by other companies.

The preliminary reconciliation of income from operations and operating margins is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
NON-GAAP NET INCOME AND DILUTED EPS RECONCILIATIONS
(In millions, except per share amounts)
(Unaudited)
PRELIMINARY

	Q4'20		Q1'21		Q2'21		Q3'21		Q4'21		Year Ended October 31, 2020		Year Ended October 31, 2021	
	Net income	Diluted EPS	Net income	Diluted EPS	Net income	Diluted EPS	Net income	Diluted EPS	Net income	Diluted EPS	Net income	Diluted EPS	Net income	Diluted EPS
GAAP net income	\$ 222	\$ 0.71	\$ 288	\$ 0.93	\$ 216	\$ 0.70	\$ 264	\$ 0.86	\$ 442	\$ 1.45	\$ 719	\$ 2.30	\$ 1,210	\$ 3.94
Non-GAAP adjustments:														
Asset impairments	—	—	—	—	2	0.01	—	—	—	—	99	0.32	2	\$ 0.01
Intangible amortization	45	0.14	44	0.14	46	0.15	53	0.17	51	0.17	184	0.59	194	0.63
Transformational initiatives	12	0.04	11	0.04	9	0.03	12	0.04	5	0.02	53	0.17	37	0.12
Acquisition and integration costs	8	0.03	9	0.03	13	0.04	10	0.03	9	0.03	41	0.13	41	0.13
Change in fair value of contingent consideration	—	—	—	—	—	—	—	—	(21)	(0.07)	—	—	(21)	(0.07)
Loss on extinguishment of debt	—	—	5	0.02	12	0.04	—	—	—	—	—	—	17	0.06
Business exit and divestiture costs	2	0.01	1	—	3	0.01	—	—	1	—	2	0.01	5	0.02
Pension settlement loss	4	0.01	—	—	—	—	—	—	1	—	4	0.01	1	—
Net gain on equity securities	(2)	(0.01)	—	—	(11)	(0.04)	(8)	(0.03)	(73)	(0.24)	(28)	(0.09)	(92)	(0.30)
Other	5	0.02	3	0.01	3	0.01	1	—	2	0.01	10	0.04	9	0.02
Adjustment for taxes ^(a)	9	0.03	(33)	(0.11)	6	0.02	5	0.03	(49)	(0.16)	(61)	(0.20)	(71)	(0.22)
Non-GAAP net income	<u>\$ 305</u>	<u>\$ 0.98</u>	<u>\$ 328</u>	<u>\$ 1.06</u>	<u>\$ 299</u>	<u>\$ 0.97</u>	<u>\$ 337</u>	<u>\$ 1.10</u>	<u>\$ 368</u>	<u>\$ 1.21</u>	<u>\$ 1,023</u>	<u>\$ 3.28</u>	<u>\$ 1,332</u>	<u>\$ 4.34</u>

^(a) The adjustment for taxes excludes tax expense (benefits) that management believes are not directly related to on-going operations and which are either isolated or cannot be expected to occur again with any regularity or predictability. For the three months ended October 31, 2020, management used a non-GAAP effective tax rate of 14.65%. For the three months ended January 31, 2021, April 30, 2021 and July 31, 2021, management used a non-GAAP effective tax rate of 14.75%. For the three months ended October 31, 2021, management used a non-GAAP effective tax rate of 13.00%. For the year ended October 2020, management used a non-GAAP effective tax rate of 15.25%. For the year ended October 31, 2021, management used a non-GAAP effective tax rate of 14.25%.

We provide non-GAAP net income and non-GAAP net income per share amounts in order to provide meaningful supplemental information regarding our operational performance and our prospects for the future. These supplemental measures exclude, among other things, charges related to asset impairments, amortization of intangibles, transformational initiatives, acquisition and integration costs, change in fair value of contingent consideration, loss on extinguishment of debt, business exit and divestiture costs, pension settlement loss and net gain on equity securities.

Asset impairments include assets that have been written down to their fair value.

Transformational initiatives include expenses associated with targeted cost reduction activities such as manufacturing transfers including costs to move manufacturing, site consolidations, legal entity and other business reorganizations, insourcing or outsourcing of activities. Such costs may include move and relocation costs, one-time termination benefits and other one-time reorganization costs. Included in this category are also expenses associated with company programs to transform our product lifecycle management (PLM) system and human resources and financial systems.

Acquisition and integration costs include all incremental expenses incurred to effect a business combination. Such acquisition costs may include advisory, legal, tax, accounting, valuation, and other professional or consulting fees. Such integration costs may include expenses directly related to integration of business and facility operations, the transfer of assets and intellectual property, information technology systems and infrastructure and other employee-related costs.

Change in fair value of contingent consideration represents changes in the fair value estimate of acquisition-related contingent consideration.

Loss on extinguishment of debt relates to the net loss recorded on the redemption of \$100 million of the \$400 million outstanding 3.2% 2022 senior notes due on October 1, 2022, called on December 22, 2020 and settled on January 21, 2021 and the net loss recorded on the redemption of the remaining \$300 million called on March 5, 2021 and settled on April 5, 2021.

Business exit and divestiture costs include costs associated with business divestitures.

Pension settlement loss relates to the relief of the US Retirement Plan pension obligation due to increased lump sum payouts over a specified accounting threshold.

Net gain on equity securities relates to the realized and unrealized mark-to-market adjustments for our marketable and non-marketable equity securities.

Other includes certain legal costs and settlements, special compliance costs and acceleration of share-based compensation expense in addition to other miscellaneous adjustments.

Our management uses non-GAAP measures to evaluate the performance of our core businesses, to estimate future core performance and to compensate employees. Since management finds this measure to be useful, we believe that our investors benefit from seeing our results "through the eyes" of management in addition to seeing our GAAP results. This information facilitates our management's internal comparisons to our historical operating results as well as to the operating results of our competitors.

Our management recognizes that items such as amortization of intangibles can have a material impact on our cash flows and/or our net income. Our GAAP financial statements including our statement of cash flows portray those effects. Although we believe it is useful for investors to see core performance free of special items, investors should understand that the excluded items are actual expenses that may impact the cash available to us for other uses. To gain a complete picture of all effects on the company's profit and loss from any and all events, management does (and investors should) rely upon the GAAP income statement. The non-GAAP numbers focus instead upon the core business of the company, which is only a subset, albeit a critical one, of the company's performance.

Readers are reminded that non-GAAP numbers are merely a supplement to, and not a replacement for, GAAP financial measures. They should be read in conjunction with the GAAP financial measures. It should be noted as well that our non-GAAP information may be different from the non-GAAP information provided by other companies.

The preliminary non-GAAP net income and diluted EPS reconciliation is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
RECONCILIATIONS OF REVENUE BY SEGMENT
EXCLUDING ACQUISITIONS, DIVESTITURES AND THE IMPACT OF CURRENCY ADJUSTMENTS (CORE)
(in millions)
(Unaudited)
PRELIMINARY

	Year-over-Year								
GAAP Revenue by Segment	GAAP			Year-over-Year					
	Q4'21	Q4'20		% Change					
Life Sciences and Applied Markets Group	\$ 747	\$ 671		11%					
Diagnostics and Genomics Group	341	294		16%					
Agilent CrossLab Group	572	518		10%					
Agilent	<u>\$ 1,660</u>	<u>\$ 1,483</u>		12%					

Non GAAP Revenue by Segment	Non-GAAP (excluding Acquisitions & Divestitures)			Year-over-Year			Year-over-Year at Constant Currency ^(a)		Current Quarter Currency Impact ^(b)
	Q4'21	Q4'20		% Change			% Change	Percentage Point Impact from Currency	
Life Sciences and Applied Markets Group	\$ 747	\$ 671		11%		11%		—	\$ 4
Diagnostics and Genomics Group	333	294		14%		13%		1 ppt	1
Agilent CrossLab Group	572	518		10%		9%		1 ppt	6
Agilent (Core)	<u>\$ 1,652</u>	<u>\$ 1,483</u>		11%		11%		—	<u>\$ 11</u>

We compare the year-over-year change in revenue excluding the effect of recent acquisitions and divestitures and foreign currency rate fluctuations to assess the performance of our underlying business.

^(a) The constant currency year-over-year growth percentage is calculated by recalculating all periods in the comparison period at the foreign currency exchange rates used for accounting during the last month of the current quarter and then using those revised values to calculate the year-over-year percentage change.

^(b) The dollar impact from the current quarter currency impact is equal to the total year-over-year dollar change less the constant currency year-over-year change.

The preliminary reconciliation of GAAP revenue adjusted for recent acquisitions and divestitures and impact of currency is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
RECONCILIATIONS OF REVENUE BY SEGMENT
EXCLUDING ACQUISITIONS, DIVESTITURES AND THE IMPACT OF CURRENCY ADJUSTMENTS (CORE)
(in millions)
(Unaudited)
PRELIMINARY

	Year-over-Year		
	GAAP		
	Year-over-Year		
	FY21	FY20	% Change
GAAP Revenue by Segment			
Life Sciences and Applied Markets Group	\$ 2,823	\$ 2,392	18%
Diagnostics and Genomics Group	1,296	1,047	24%
Agilent CrossLab Group	2,200	1,900	16%
Agilent	\$ 6,319	\$ 5,339	18%

	Non-GAAP (excluding Acquisitions & Divestitures)			Year-over-Year at Constant Currency ^(a)		
	FY21	FY20	% Change	Year-over-Year % Change	Percentage Point Impact from Currency	Current Quarter Currency Impact ^(b)
Non GAAP Revenue by Segment						
Life Sciences and Applied Markets Group	\$ 2,823	\$ 2,392	18%	16%	2 ppts	\$ 59
Diagnostics and Genomics Group	1,282	1,047	22%	20%	2 ppts	27
Agilent CrossLab Group	2,200	1,900	16%	12%	4 ppts	67
Agilent (Core)	\$ 6,305	\$ 5,339	18%	15%	3 ppts	\$ 153

We compare the year-over-year change in revenue excluding the effect of recent acquisitions and divestitures and foreign currency rate fluctuations to assess the performance of our underlying business.

^(a) The constant currency year-over-year growth percentage is calculated by recalculating all periods in the comparison period at the foreign currency exchange rates used for accounting during the last month of the current quarter and then using those revised values to calculate the year-over-year percentage change.

^(b) The dollar impact from the current year currency impact is equal to the total year-over-year dollar change less the constant currency year-over-year change.

The preliminary reconciliation of GAAP revenue adjusted for recent acquisitions and divestitures and impact of currency is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
RECONCILIATIONS OF REVENUE BY REGION
EXCLUDING ACQUISITIONS, DIVESTITURES AND THE IMPACT OF CURRENCY ADJUSTMENTS (CORE)
(in millions)
(Unaudited)
PRELIMINARY

	Year-over-Year			
	GAAP			
	Q4'21	Q4'20	Year-over-Year % Change	
GAAP Revenue by Region				
Americas	\$ 662	\$ 566	17%	
Europe	413	395	5%	
Asia Pacific	585	522	12%	
Total Revenue	\$ 1,660	\$ 1,483	12%	
China and Hong Kong	\$ 332	\$ 298	11%	

	Non-GAAP (excluding Acquisitions & Divestitures)			Year-over-Year at Constant Currency ^(a)		
	Q4'21	Q4'20	Year-over-Year % Change	Year-over-Year % Change	Percentage Point Impact from Currency	Current Quarter Currency Impact ^(b)
Non GAAP Revenue by Region						
Americas	\$ 654	\$ 566	16%	15%	1 ppt	\$ 2
Europe	413	395	5%	4%	1 ppt	1
Asia Pacific	585	522	12%	11%	1 ppt	8
Total Revenue (Core)	\$ 1,652	\$ 1,483	11%	11%	—	\$ 11
China and Hong Kong	\$ 332	\$ 298	11%	8%	3 ppts	\$ 9

We compare the year-over-year change in revenue excluding the effect of recent acquisitions and divestitures and foreign currency rate fluctuations to assess the performance of our underlying business.

^(a) The constant currency year-over-year growth percentage is calculated by recalculating all periods in the comparison period at the foreign currency exchange rates used for accounting during the last month of the current quarter and then using those revised values to calculate the year-over-year percentage change.

^(b) The dollar impact from the current quarter currency impact is equal to the total year-over-year dollar change less the constant currency year-over-year change.

The preliminary reconciliation of GAAP revenue adjusted for recent acquisitions and divestitures and impact of currency is estimated based on our current information.

Year-over-Year

	Non-GAAP (excluding Acquisitions & Divestitures)			Year-over-Year at Constant Currency ^(a)		
	Year-over-Year			Year-over-Year	Percentage Point Impact from Currency	Current Quarter Currency Impact ^(b)
<u>Non GAAP Revenue by Region</u>	FY21	FY20	% Change	% Change		
Americas	\$ 2,390	\$ 1,968	21%	21%	—	\$ 3
Europe	1,688	1,443	17%	12%	5 ppts	79
Asia Pacific	2,227	1,928	15%	12%	3 ppts	71
Total Revenue (Core)	<u>\$ 6,305</u>	<u>\$ 5,339</u>	18%	15%	3 ppts	<u>\$ 153</u>
China and Hong Kong	\$ 1,271	\$ 1,087	17%	13%	4 ppts	\$ 46

The preliminary reconciliation of GAAP revenue adjusted for recent acquisitions and divestitures and impact of currency is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
RECONCILIATIONS OF REVENUE BY MARKET
EXCLUDING ACQUISITIONS, DIVESTITURES AND THE IMPACT OF CURRENCY ADJUSTMENTS (CORE)
(in millions)
(Unaudited)
PRELIMINARY

	Year-over-Year		
	GAAP		
<u>GAAP Revenue by Market</u>	<u>Q4'21</u>	<u>Q4'20</u>	<u>Year-over-Year % Change</u>
Pharmaceutical	\$ 597	\$ 491	21%
Academia and government	153	151	1%
Diagnostics and clinical	246	215	15%
Chemical and energy	353	315	12%
Food	151	150	1%
Environmental and forensics	160	161	(1%)
Total Revenue	<u>\$ 1,660</u>	<u>\$ 1,483</u>	12%

	Non-GAAP (excluding Acquisitions & Divestitures)			Year-over-Year at Constant Currency ^(a)		
	<u>Q4'21</u>	<u>Q4'20</u>	<u>Year-over-Year % Change</u>	<u>Year-over-Year % Change</u>	<u>Percentage Point Impact from Currency</u>	<u>Current Quarter Currency Impact ^(b)</u>
Pharmaceutical	\$ 597	\$ 491	21%	21%	—	\$ 3
Academia and government	153	151	1%	1%	—	1
Diagnostics and clinical	238	215	11%	11%	—	1
Chemical and energy	353	315	12%	11%	1 ppt	3
Food	151	150	1%	—	1 ppt	1
Environmental and forensics	160	161	(1%)	(2%)	1 ppt	2
Total Revenue (Core)	<u>\$ 1,652</u>	<u>\$ 1,483</u>	11%	11%	—	<u>\$ 11</u>

We compare the year-over-year change in revenue excluding the effect of recent acquisitions and divestitures and foreign currency rate fluctuations to assess the performance of our underlying business.

^(a) The constant currency year-over-year growth percentage is calculated by recalculating all periods in the comparison period at the foreign currency exchange rates used for accounting during the last month of the current quarter and then using those revised values to calculate the year-over-year percentage change.

^(b) The dollar impact from the current quarter currency impact is equal to the total year-over-year dollar change less the constant currency year-over-year change.

The preliminary reconciliation of GAAP revenue adjusted for recent acquisitions and divestitures and impact of currency is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
RECONCILIATIONS OF REVENUE BY MARKET
EXCLUDING ACQUISITIONS, DIVESTITURES AND THE IMPACT OF CURRENCY ADJUSTMENTS (CORE)
(in millions)
(Unaudited)
PRELIMINARY

	Year-over-Year		
	GAAP		
<u>GAAP Revenue by Market</u>	<u>FY21</u>	<u>FY20</u>	<u>Year-over-Year % Change</u>
Pharmaceutical	\$ 2,225	\$ 1,754	27%
Academia and government	576	526	10%
Diagnostics and clinical	937	787	19%
Chemical and energy	1,329	1,154	15%
Food	601	517	16%
Environmental and forensics	651	601	8%
Total Revenue	<u>\$ 6,319</u>	<u>\$ 5,339</u>	18%

	Non-GAAP (excluding Acquisitions & Divestitures)			Year-over-Year at Constant Currency ^(a)		
	<u>FY21</u>	<u>FY20</u>	<u>Year-over-Year % Change</u>	<u>Year-over-Year % Change</u>	<u>Percentage Point Impact from Currency</u>	<u>Current Quarter Currency Impact ^(b)</u>
Pharmaceutical	\$ 2,225	\$ 1,754	27%	24%	3 ppts	\$ 49
Academia and government	576	526	10%	7%	3 ppts	11
Diagnostics and clinical	923	787	17%	15%	2 ppts	22
Chemical and energy	1,329	1,154	15%	12%	3 ppts	37
Food	601	517	16%	13%	3 ppts	16
Environmental and forensics	651	601	8%	5%	3 ppts	18
Total Revenue (Core)	<u>\$ 6,305</u>	<u>\$ 5,339</u>	18%	15%	3 ppts	<u>\$ 153</u>

We compare the year-over-year change in revenue excluding the effect of recent acquisitions and divestitures and foreign currency rate fluctuations to assess the performance of our underlying business.

^(a) The constant currency year-over-year growth percentage is calculated by recalculating all periods in the comparison period at the foreign currency exchange rates used for accounting during the last month of the current quarter and then using those revised values to calculate the year-over-year percentage change.

^(b) The dollar impact from the current year currency impact is equal to the total year-over-year dollar change less the constant currency year-over-year change.

The preliminary reconciliation of GAAP revenue adjusted for recent acquisitions and divestitures and impact of currency is estimated based on our current information.

AGILENT TECHNOLOGIES, INC.
NET DEBT TO ADJUSTED EBITDA CALCULATION
(in millions, except ratio data)
(Unaudited)
PRELIMINARY

	As of October 31, 2021
Long-term debt	\$ 2,729
Short-term debt	-
Cash & cash equivalents	(1,484)
Net debt	\$ 1,245

	Q1'21	Q2'21	Q3'21	Q4'21	Trailing 12- Month
GAAP net income	\$ 288	\$ 216	\$ 264	\$ 442	\$ 1,210
Asset impairments	—	2	—	—	2
Intangible amortization	44	46	53	51	194
Transformational initiatives	11	9	12	5	37
Acquisition and integration costs	9	13	10	9	41
Change in fair value of contingent consideration	—	—	—	(21)	(21)
Business exit and divestiture costs	1	3	—	1	5
Pension settlement loss	—	—	—	1	1
Net gain on equity securities	—	(11)	(8)	(73)	(92)
Loss on extinguishment of debt	5	12	—	—	17
Other	3	3	1	2	9
Adjustment for taxes	(33)	6	5	(49)	(71)
Non-GAAP net income	\$ 328	\$ 299	\$ 337	\$ 368	\$ 1,332
Add:					
(1) Net interest expense	\$ 19	\$ 19	\$ 21	\$ 20	\$ 79
GAAP provision for income taxes	24	57	63	6	150
Adjustment for taxes	33	(6)	(5)	49	71
(2) Non-GAAP provision for income taxes	\$ 57	\$ 51	\$ 58	\$ 55	\$ 221
(3) Depreciation expense	\$ 32	\$ 31	\$ 31	\$ 33	\$ 127
Adjusted EBITDA					\$ 1,759
Net debt to adjusted EBITDA ratio					0.7

The preliminary net debt to adjusted EBITDA ratio is estimated based on our current information.